Mumbai terror attacks have been punished. India delinked 'composite dialogue' from terrorism. The joint statement issued after the second top level meeting since the 26/11 Mumbai terror attacks declared "Both the Prime Ministers recognized that dialogue is the only way forward. Action on terrorism should not be linked to the composite dialogue process and these should not be bracketed."[8] Kashmir did not figure in the joint statement which is always under the composite dialogue process. Prime Minister Manmohan Singh expressed India's readiness to "discuss all issues with Pakistan including all outstanding issues". Responding to Dr. Singh's statement in the Lok Sabha on the India–Pakistan joint statement in Egypt, Pakistani PM Gilani reciprocated the 'sentiments of peace' and expressed the meeting as one where both leaders had agreed that terrorism was a common threat and dialogue is the only way to take relations in a positive direction. But the opposition slammed New Delhi's stance for delinking of the "composite dialogue"[9] with Pakistan. Dr. Singh, however, reaffirmed that delinking of dialogue process with Pakistan from its action against terrorism was not a dilution of India's stand but strengthening of it.

As far as the Indo–US relation is concerned, there are serious apprehensions among the oppositions following the visit of the US Secretary of State, Mrs. Hillary R. Clinton in July 2009. The message of the Obama administration is to link the implementation of the nuclear deal to an end-use monitoring agreement for military supplies from America which would result in the signing of a defence pact with the US. India's stand on entering into an understanding on End-Use-Monitoring Agreement (EUMA) has raised severe criticisms from the opposition. PM Dr. Singh has tried to defend his government's posture on the face of allegations about dilution of India's stand on the EUMA. He said that the text of EUMA contains no provisions that compromises India's sovereignty and calls for unilateral verification by the USA on imported defence equipment.

A recent development of Dr. Singh's government has been the signing of a partial free-trade agreement with ASEAN on 13 August, 2009 at the beginning of the 41st ASEAN Economic Ministers meeting in Thailand. With this agreement in place the annual